25901880 **Reg. No:……**

Name:……

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BVOC (HONOURS) Regular EXAMINATION April 2026

Second SEMESTER

Multi-Disciplinary Courses (MDC) – MG2MDCTHM100 – TRAVEL AGENCY

AND TOUR OPERATION BUSINESS MANAGEMENT

(2025 ADMISSION ONWARDS)

Duration: 1 hour 30 minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate€, Create(C), Skill(S), Interest(1) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A
Short Answer Question
Answer any 5 questions
Each question carries 2 marks

1. Compare UNWTO with other tourism bodies. [An]/[CO1]

United Nations World Tourism Organization (UNWTO) is a global organization working under the United Nations to promote sustainable and responsible tourism worldwide. It mainly focuses on tourism policies, research, international cooperation, and development.

Other tourism bodies like Pacific Asia Travel Association (PATA) and International Air Transport Association (IATA) focus on regional tourism promotion and airline regulations respectively. UNWTO works globally at the governmental level, while others mainly support industry members and businesses.

2. Explain PATA's role in destination marketing. [A]/[CO1]

Pacific Asia Travel Association (PATA) helps in promoting tourist destinations, especially in the Asia-Pacific region. It conducts marketing campaigns, tourism research, trade fairs, and training programs.

PATA also supports destinations through digital promotion, networking among tourism stakeholders, and creating awareness about sustainable tourism

3. Evaluate which itinerary type suits family travel. [E]/[CO2]

A flexible and inclusive itinerary is most suitable for family travel. Families usually prefer leisure itineraries with comfortable transport, safe accommodation, entertainment activities, and enough rest time.

Package tours and customized itineraries are ideal because they reduce travel stress and meet the needs of children and elderly members.

4. Discuss the importance of scheduling in itinerary preparation. [An]/[CO2]

Scheduling is important in itinerary preparation because it helps in proper time management and smooth travel arrangements. It ensures that transport, accommodation, sightseeing, and meals are organized efficiently.

A good schedule avoids confusion, reduces delays, saves cost, and provides maximum satisfaction to tourists.

5. Explain the function of GDS in tourism. [U]/[CO4]

A Global Distribution System (GDS) is a computerized network used for booking travel services such as flights, hotels, car rentals, and tour packages.

It helps travel agencies access real-time information about availability and prices. GDS improves efficiency, speed, and accuracy in reservations and customer service.

6. Who participates in travel fairs? [U]/[CO4]

Travel fairs are attended by tourism stakeholders such as tour operators, travel agencies, hotels, airlines, destination management companies, tourism boards, and transport operators.

Tourists, media representatives, and travel bloggers may also participate to explore tourism products and services.

7. Explain mobile payment systems in tourism. [U]/[CO4]

Mobile payment systems allow tourists to make payments using smartphones or digital devices. Payments can be made through UPI apps, mobile wallets, QR codes, and online banking.

These systems provide convenience, quick transactions, security, and cashless travel experiences for tourists and tourism businesses.

[2x5 = 10]

Part B
Short Answer Question
Answer any 5 questions
Each question carries 5 marks

8. Discuss the role of accreditation in starting a travel agency. [An]/[CO1]

Accreditation is the official recognition given to a travel agency by authorized tourism or airline organizations. It plays an important role in establishing the credibility and professionalism of a travel agency. Accreditation helps customers trust the agency and assures them of quality service and ethical business practices.

Accredited agencies can work directly with airlines, hotels, tour operators, and other tourism suppliers. Recognition from organizations like International Air Transport Association (IATA) allows agencies to issue airline tickets and access reservation systems.

Accreditation also helps agencies receive commissions, incentives, and special discounts from suppliers. It improves business opportunities and market reputation. In many cases, accreditation is necessary for participating in international tourism activities and trade fairs.

It also ensures that agencies follow industry standards, legal procedures, and customer service guidelines. Thus, accreditation is essential for the smooth operation and growth of a travel agency.

9. Discuss the commission-based income system of travel agents. [U]/[CO1]

The commission-based income system is one of the major sources of income for travel agents. In this system, travel agents earn a percentage of commission by selling tourism-related products

and services such as airline tickets, hotel bookings, tour packages, cruise bookings, travel insurance, and transport services.

Suppliers like airlines, hotels, and tour operators pay commissions to travel agents for bringing customers to them. The commission amount usually depends on the total sales value and the agreement between the supplier and the travel agency.

Travel agents may also receive extra incentives, bonuses, and rewards for achieving sales targets. Higher bookings result in higher income for the agency. This system motivates agents to improve customer service and increase sales performance.

The commission-based system benefits both suppliers and travel agents. Suppliers can promote their services through agents, while agents earn income without owning tourism products directly. Therefore, this system plays a significant role in the tourism and travel industry.

10. Define IATA and explain its objectives. [U]/[CO1]

International Air Transport Association (IATA) is an international organization established to represent and support airline companies worldwide. It was founded in 1945 and works to improve the safety, efficiency, and reliability of air transport services.

The main objectives of IATA are:

- To promote safe, secure, and economical air transport services.
- To standardize airline procedures, ticketing systems, and fare structures.
- To improve cooperation and coordination among international airlines.
- To support fair competition and protect the interests of airlines and passengers.
- To provide training programs and professional guidance for the aviation and travel industry.
- To help travel agencies through accreditation and reservation systems.

IATA also plays an important role in developing global aviation standards and improving customer convenience in international travel. Thus, it contributes significantly to the growth of the airline and tourism industry.

11. Explain the meaning of itinerary in the travel and tourism industry. [U]/[CO2]

An itinerary is a planned schedule or travel plan prepared for tourists before the journey begins. It contains complete details about the travel program, including destinations, dates, timings, transportation, accommodation, meals, sightseeing activities, and other services.

The itinerary acts as a guide for tourists throughout the trip and helps ensure smooth travel arrangements. It is usually prepared by tour operators or travel agencies according to the interests, budget, and duration of the tour.

A good itinerary includes proper scheduling of activities, sufficient rest time, and accurate travel information. It helps tourists save time, avoid confusion, and enjoy the trip comfortably.

Different types of itineraries are prepared for family tours, group tours, business travel, educational trips, and leisure tourism. A well-designed itinerary improves tourist satisfaction and enhances the overall travel experience. Therefore, itinerary preparation is an important function in the travel and tourism industry.

12. List the factors to consider while preparing an itinerary. [K]/[CO2]

While preparing an itinerary, several important factors must be considered to ensure a comfortable and successful tour experience.

Budget of tourists – The itinerary should match the financial capacity of the tourists.

Time available – The duration of the trip should be planned properly to cover important destinations without hurry.

Tourist interests and preferences – Activities should be selected according to the age, tastes, and purpose of travel.

Climate and season – Weather conditions and tourist seasons influence destination selection and travel comfort.

Transportation facilities – Availability, cost, and convenience of transport must be considered.

Accommodation facilities – Safe and comfortable lodging arrangements are essential.

Distance between destinations – Excessive travel distance may cause fatigue and reduce enjoyment.

Safety and health conditions – The itinerary should ensure tourist safety and provide necessary medical support if required.

Local culture and regulations – Cultural practices and legal requirements of destinations should be respected.

Considering these factors helps in preparing an effective and tourist-friendly itinerary.

13. Evaluate how supplier partnerships influence package pricing. [E]/[CO4]

Supplier partnerships play an important role in determining the pricing of tourism packages. Tour operators and travel agencies collaborate with suppliers such as airlines, hotels, transport companies, restaurants, and local guides to provide tourism services.

Strong partnerships help tour operators receive discounts, special rates, and bulk booking benefits from suppliers. These cost reductions allow agencies to offer attractive and competitive package prices to customers.

Long-term partnerships also provide additional advantages such as flexible payment terms, priority bookings, free upgrades, and seasonal promotional offers. This improves both customer satisfaction and profitability for the agency.

Supplier relationships also affect the quality of services included in the package. Reliable suppliers ensure better accommodation, transportation, and customer experiences, which increase the value of the tour package.

However, weak supplier relationships or rising supplier costs can increase package prices and reduce competitiveness. Therefore, maintaining good partnerships is essential for controlling costs and improving tourism package quality.

In conclusion, supplier partnerships greatly influence package pricing, service quality, and the success of travel businesses.

14. Analyze the challenges faced by tour operators in modern tourism. [An]/[CO4]

Tour operators face several challenges in modern tourism due to changes in technology, customer behavior, and global conditions. One major challenge is the increasing competition from online booking platforms where tourists directly book flights, hotels, and tour packages without depending on travel agencies.

Changing customer preferences also create difficulties. Modern tourists demand personalized experiences, eco-friendly tourism, adventure activities, and flexible travel plans. Tour operators must constantly innovate to meet these expectations.

Rising operational costs such as fuel prices, accommodation charges, transportation expenses, and employee wages affect profitability. Political instability, terrorism, natural disasters, and pandemics also create uncertainty in tourism demand and travel safety.

Environmental concerns and the need for sustainable tourism practices are additional challenges. Tour operators are expected to reduce environmental impact while maintaining service quality. Rapid technological changes require agencies to adopt digital marketing, online booking systems, and social media promotion.

Customer reviews and online ratings also influence business reputation. Negative reviews can affect customer trust and reduce bookings.

Therefore, tour operators must adopt modern technology, effective marketing strategies, and sustainable practices to survive and grow in the competitive tourism industry. **[5x5 = 25]**

Part C
Long Essay Question
Answer any 1 questions
Each question carries 15 marks

15. Evaluate the economic impact of tour operators on destination development. [E]/[CO1]

Tour operators play an important role in the economic development of tourist destinations. They attract domestic and international tourists by promoting destinations and organizing tour packages. Increased tourist arrivals generate income for hotels, restaurants, transport services, shopping centers, and local businesses.

Tour operators create both direct and indirect employment opportunities. Jobs are created for tour guides, drivers, hotel staff, travel consultants, and local artisans. Tourism also increases foreign exchange earnings and government revenue through taxes and tourism-related services.

Another major contribution is infrastructure development. Growth in tourism encourages improvements in roads, airports, communication systems, sanitation, and public facilities. These developments benefit both tourists and local residents.

Tour operators also help promote rural and lesser-known destinations, supporting balanced regional development. Local culture, handicrafts, and traditional art forms receive recognition and economic support through tourism activities.

However, uncontrolled tourism may cause environmental pollution, overcrowding, and cultural degradation. Therefore, sustainable tourism practices are necessary for long-term destination development.

In conclusion, tour operators contribute significantly to employment generation, infrastructure growth, foreign exchange earnings, and overall economic development of tourist destinations.

16. Analyze how travel agencies use promotional strategies to attract customers. [An]/[CO4]

Travel agencies use various promotional strategies to attract customers and increase sales. Advertising through newspapers, television, radio, brochures, and websites helps agencies create awareness about destinations and tour packages. Attractive advertisements encourage people to travel.

Digital marketing is widely used in modern tourism promotion. Agencies use social media platforms such as Instagram, Facebook, YouTube, and WhatsApp to share travel photos, videos, customer reviews, and promotional offers. Websites and online booking systems also make travel planning easier for customers.

Travel agencies provide discounts, honeymoon packages, family packages, seasonal offers, and loyalty programs to attract more travelers. Early booking discounts and referral benefits also encourage customers.

Participation in travel fairs and exhibitions helps agencies promote services and build relationships with tourism suppliers. Good customer service and positive reviews improve the reputation of travel agencies and attract repeat customers.

Many agencies also collaborate with influencers, bloggers, airlines, and hotels for wider promotion. Personalized tour packages based on customer interests improve customer satisfaction.

In conclusion, travel agencies use both traditional and digital promotional methods to attract customers, improve sales, and remain competitive in the tourism industry.

17. Analyze how itinerary elements influence the overall travel experience. [An]/[CO2]

An itinerary is an important part of tourism because it directly affects tourist comfort, satisfaction, and enjoyment. A well-planned itinerary helps tourists travel smoothly and enjoy the trip without stress or confusion.

Transportation arrangements are very important. Safe, comfortable, and properly scheduled transport improves the travel experience. Accommodation also influences tourist satisfaction by providing comfort, relaxation, and convenience during the journey.

Proper scheduling and time management help tourists visit attractions comfortably without fatigue. Adequate rest time and balanced activities improve enjoyment and reduce stress.

Sightseeing activities, entertainment programs, cultural experiences, and local food make the trip memorable. Activities should match the interests, age group, and purpose of travel of tourists.

Budget planning is another important factor. A good itinerary balances quality and affordability, helping tourists manage expenses effectively. Flexibility in the itinerary helps handle unexpected situations such as delays or weather changes.

A poorly planned itinerary may cause inconvenience, wasted time, and dissatisfaction. Therefore, travel agencies and tour operators must carefully design itineraries according to tourist needs and preferences.

In conclusion, itinerary elements such as transportation, accommodation, scheduling, activities, and budgeting greatly influence the overall travel experience and tourist satisfaction.

[15x1 = 15]